

Do Closing Minority Depository Institutions Affect Credit in Their Communities

Noara Razzak *

September 21, 2025

First version: May 16, 2024. This version: September 21, 2025

Abstract

I investigate the role of urban community banks, Minority Depository Institutions (MDIs) in promoting credit access in underserved, diverse urban neighborhoods. I construct a panel data set, employ an event-study design and treat MDI and non-MDI branch closures within census tracts as interventions. The effects are largely minimal, with a few notable exceptions: 1) Asian MDI branch closures lower large mortgage originations within the Asian community, 2) Hispanic MDI branch closures lower small business loan (SBL) originations to small firms, while, 3) non-MDI branch closures lower mortgage originations within Black communities served by Black MDIs. Surprisingly, non-MDI branch closures precede an increase in total SBL originations. Using lender-level Herfindahl–Hirschman index, I show branch closures do not lead to more concentrated lending markets, rather encourage entry of non-local and non-bank lenders. The results highlight the evolving and decreasing role of physical bank branches and relationship banking in an increasingly digital banking landscape.

JEL Classification Codes: G20, G21 , L10

*John E. Walker Department of Economics, Wilbur O. and Ann Powers College of Business, Clemson University, Clemson, South Carolina, 29634-1309, USA; email nrazzak@clemson.edu. I want to thank my advisor, Howard Bodenhorn, and members of the Dissertation Committee, the Public Workshop and the IO Workshop at Clemson University, participants at the Philadelphia Fed PhD Mentoring and Advising Program (PFMAP) workshop and Fintech and Financial Institutions Conference at the FRB Philadelphia, especially Thorsten Drautzburg, James Vickery, Mitchell Berlin and Andrew Hertzberg, attendees at the Community Banking Research Conference (CBRC) 2024 conference, Claire Labonne and members of the Supervisory Research and Analysis Unit at the FRB Boston, attendees at the Women in Central Banking Conference at the FRB Dallas, Jacob Walloga among others for their valuable feedback.